Quillwood Credit Partners

Origination and credit | Internal working paper

Indicative Term Sheet
Grandview Early Learning

A$44.0M senior secured acquisition term facility

Prepared for Grandview Early Learning Pty Ltd and Bellwood Equity

Prepared by Quillwood Credit Partners

2 April 2026

Non-binding, subject to credit approval

Reference: QCP-TS-2026-0402-GEL

Date: 2 April 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

Confidential. Prepared for the addressee only and not to be relied on by any other party.

Borrower	Grandview Early Learning Pty Ltd
ABN	80 855 681 517
Address	Level 7, 215 Adelaide Street, Brisbane QLD 4000
Sponsor	Bellwood Equity Partners Fund II, managed by Bellwood Equity Management Pty Ltd
Lender	Quillwood Credit Partners
Date	2 April 2026
Version	Indicative, version 1

Summary details

1. Status of this term sheet

This term sheet is indicative only. It is non-binding, does not constitute a commitment to lend and remains subject to credit approval, satisfactory due diligence and agreed documentation. It reflects the information memorandum dated 19 January 2026, financial statements dated 13 February 2026, the valuation dated 6 March 2026, management accounts dated 13 March 2026 and the quantity surveyor report dated 20 March 2026. Terms lapse if not accepted by 30 April 2026.

2. Transaction and sources and uses

The Borrower operates long day care centres in Queensland and New South Wales under the Child Care Subsidy framework. It will acquire 12 centres (5 in QLD, 7 in NSW) from a private multi-site operator, taking the portfolio from 26 to 38 centres with approximately 3,120 licensed places. Group occupancy is 79% on a weighted basis, with the acquired centres at 73.5%.

Item	A$M	% of total
Senior acquisition facility	44.0	70.4%
Sponsor equity	18.5	29.6%
Total sources	62.5	100.0%
Purchase price	60.5	96.8%
Transaction costs	2.0	3.2%
Total uses	62.5	100.0%

Sources and uses

The facility represents a 71% loan to value ratio against the Harcourt Pryor Valuations Pty Ltd valuation of A$62.0M for the acquired portfolio.

3. Facility terms

Term	Indicative detail
Facility	Senior secured acquisition term facility
Limit	A$44.0M
Tenor	48 months from financial close
Purpose	Part fund the acquisition and transaction costs
Amortisation	1.00% p.a. from month 13, balance at maturity
Margin	3 month BBSW plus 6.25% p.a.
Establishment fee	2.00% (A$0.88M)
Commitment fee	1.50% p.a. on undrawn amounts

Key facility terms

On the amortisation profile, approximately A$42.7M would remain outstanding at maturity, so refinancing or sale proceeds will be required at exit.

4. Security

- First ranking general security over all present and after acquired property of the Borrower and each material subsidiary, with cross guarantees.
- First registered mortgages over the four freehold acquired centres.
- Assignment of rights under the acquisition agreement, including warranties and indemnities.
- Share security over the Borrower and subsidiaries, and a charge over key leases where landlord consent is obtainable.
- Subordination of sponsor and shareholder loans.

5. Financial covenants

Covenant	Pro forma	Proposed test
Net debt to EBITDA	3.9x	Maximum 4.50x
Interest cover	2.6x	Minimum 2.00x
Loan to value	71%	Maximum 75%
Weighted occupancy	79%	Minimum 75%

Proposed covenants, tested quarterly on a rolling 12 month basis

Pro forma figures use LTM revenue of A$72.0M, EBITDA after rent of A$14.2M and net debt of A$55.0M. Step downs in the leverage covenant will be set once the integration plan is reviewed.

6. Key risks for credit assessment

- Occupancy: the plan assumes the acquired centres lift from 73.5% to about 80% within 18 months.
- Regulatory and funding: Child Care Subsidy settings, fee caps and National Quality Framework ratings, with 31 of 38 centres rated Meeting or Exceeding.
- Labour: educator shortages and award wage increases.
- Integration and lease risk: a 46% increase in sites, licence transfers and leasehold exposure.
- Refinancing and floating rate exposure at maturity.

7. Conditions precedent

- Credit approval by Quillwood Credit Partners.

- Satisfactory completion of legal due diligence by Merrion Hale Lawyers and financial due diligence, including review of Kestrel Ridge Assurance audited accounts.
- Reliance on the valuation and quantity surveyor report from Tanner & Voss Quantity Surveyors Pty Ltd.
- Evidence of A$18.5M sponsor equity contributed before first drawdown.
- Regulatory approval of provider and service transfers, and landlord consents for key leases.
- Satisfactory insurance, executed security documents and a financial model reviewed by Lindqvist Corporate Advisory Pty Ltd.

8. Acceptance

Fiona Marchetti, Managing Director and Chief Executive Officer, may accept this indicative term sheet on behalf of the Borrower. Daniel Okonkwo-Reid and Priya Raghunathan will be notified as Bellwood Equity nominee directors. Acceptance does not create a binding obligation on either party.